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Case Name: *Patelco Credit Union v. Candace Costiniano et al.*

Case No.: 24CV451305

I. BACKGROUND

This is a fraud and breach of contract action brought by plaintiff Patelco Credit Union (“Patelco”) against defendants Candace Costiniano and Maximilian Rune Knudsen (together, “Defendants”). Defendants have filed separate but nearly identical motions to quash service of summons and separate but nearly identical motions to set aside the defaults entered against them.

According to the complaint, on or about May 15, 2020, Costiniano applied for and became a member of Patelco Credit Union. (Complaint, ¶ 13.) On February 10, 2024, Costiniano added Knudsen as a joint and associate member of Patelco. (*Ibid.*) On June 29, 2024, Patelco first became aware of and detected a ransomware attack that resulted in the encryption of its systems and unauthorized access to some of its databases. (*Id.* at ¶ 1.) This security breach required Patelco to shut down some of its day-to-day banking systems proactively to contain and remediate the situation. (*Ibid.*) As part of the shutdown, Patelco’s members were unable to access their accounts via online banking, but they were able to access available funds in their accounts even while Patelco’s systems were offline. (*Ibid.*) Certain members took advantage of this situation and made multiple unauthorized transfers, withdrawals, and related transactions involving funds that were well in excess of their usual daily activity and balances in their accounts. (*Id.* at ¶ 2.) These transactions significantly overdrawed the members’ accounts and were conducted through Patelco’s branches, ATM machines, mobile applications (*e.g.*, Apple Cash, Apple Pay, Cash App, or Venmo), credit card transactions, debit card transactions, or Automated Clearing House (ACH) transfers to other financial institutions. (*Ibid.*)

Patelco learned of these overdrawn accounts after it brought its systems back online and contacted members to advise them that they needed to bring their accounts positive. (Complaint, ¶ 3.) Despite these efforts, certain members, including Defendants, allegedly chose to ignore the messages or claim that they did not conduct the transactions. (*Id.* at ¶¶ 3-4.)

On November 8, 2024, Patelco filed the original and still-operative complaint, asserting causes of action for: (1) breach of contract; (2) account stated; (3) fraud; (4) conversion; (5) unjust enrichment; and (6) violation of Penal Code sections 496 and 496c (receipt of stolen property). On December 13, 2024, Patelco submitted proofs of service of the summons and complaint, which declared that on November 15, 2024, a registered process server personally delivered the summons and related documents on behalf of Patelco to a “party or person authorized to receive service of process” for both Defendants. On December 20, 2024, the clerk’s office entered a default as to both Defendants. On January 29, 2025, the clerk’s office entered another default as to both Defendants.

On June 20, 2025, Defendants filed the present motions to quash service of summons and to set aside the defaults. Although a default prove-up hearing was originally scheduled for to be heard on July 21, 2025, this court continued that hearing to August 25, 2025, in order to hear the present motions first.

II. DISCUSSION

A. Motions to Quash

As noted above, Patelco obtained entries of default against Defendants. “The entry of a default terminates a defendant’s rights to take any further affirmative steps in the litigation until either its default is set aside or a default judgment is entered. [Citations.]” (*Devlin v. Kearny Mesa Amc/Jeep/Renault* (1984) 155 Cal.App.3d 381, 385; see also *People v. One 1986 Toyota Pickup* (1995) 31 Cal.App.4th 254, 259 [“Under Code of Civil Procedure section 585 (judgment on default), the entry of a default terminates a defendant’s rights to take any further affirmative steps in the litigation until either the default is set aside or a default judgment is entered. A defendant against whom a default has been entered is out of court and is not entitled to take any further steps in the cause affecting plaintiff’s right of action. [Citations.]”].) Moreover, entry of default deprives the court of jurisdiction to consider any motion other than a motion for relief from default. (See *W.A. Rose Co. v. Municipal Court* (1959) 176 Cal.App.2d 67, 72 [“The municipal court thereafter lost jurisdiction to do anything but enter the default and judgment . . . ”].)

Based upon the foregoing, Defendants’ motions to quash are premature at best. Moreover, because Defendants’ motions are based on the notion that they were not properly served—a notion that the court rejects, for the reasons discussed below in connection with the motions to set aside—the court finds that the motions to quash are not well taken.

The court DENIES Defendants’ motions to quash.¹

B. Motions to Set Aside Default Judgments

Costiniano and Knudsen’s motions to set aside are based on Code of Civil Procedure section 473.5, under which they argue that they did not receive “actual notice” of this action. (See Memorandum of Points of Authorities in Support of Costiniano’s Motion to Set Aside Default Judgment, pp. 2:1-3:8; Memorandum of Points of Authorities in Support of Knudsen’s Motion to Set Aside Default Judgment, pp. 2:1-3:8.)

Patelco responds by questioning the credibility of the declarations submitted by Defendants in support of their motions and also submits a declaration from a process server, Mikayla Plushnik, who avers that she properly served Costiniano and Knudsen with the summons and complaint. (Patelco’s Opposition to Costiniano and Knudsen’s Motion to Quash Service and Set Aside Defaults (“Opposition”), pp. 2:22-4:17.) Patelco also argues that the doctrine of laches applies because of Defendants’ “unexcused delay” in filing their motions. (*Id.* at pp. 4:19-5:21.)

¹ It is unclear if Defendants intended to file their motions to quash as independent motions concurrently with their motions to set aside, or if Defendants intended to file these motions as responsive pleadings under Code of Civil Procedure section 473.5, subdivision (b). (See Code Civ. Proc., § 473.5, subd. (b) [“The party shall serve and file with the notice a copy of the answer, motion, or other pleading proposed to be filed in the action.”].) Given that Defendants reserved hearing dates for their motions to quash, the court assumes the former.

1. Laches

As an initial matter, the court is unpersuaded by Patelco's laches argument. Patelco does not cite any legal authority supporting it and instead focuses its citations on case law discussing self-represented litigants. (See Opposition, p. 5:10-18.) Nor is it clear to the court how laches could possibly apply to the circumstances here, where Defendants are not asserting *an equitable right or claim* but rather requesting that they be permitted to defend this case on the merits based on a statutory provision. (See *Magic Kitchen LLC v. Good Things International, Ltd.* (2007) 153 Cal.App.4th 1144, 1157 ["A defendant must demonstrate three elements to successfully assert a laches defense: (1) delay in asserting a right or a claim; (2) the delay was not reasonable or excusable; and (3) prejudice to the party against whom laches is asserted. [Citations.]"]; *Estate of Kampen* (2011) 201 Cal.App.4th 971, 998 ["Laches is 'an unreasonable delay in asserting an equitable right, causing prejudice to an adverse party such as to render the granting of relief to the other party inequitable.' [Citation.]"]; see also *Johnson v. City of Loma Linda* (2000) 24 Cal.4th 61, 77.) In addition, Patelco fails to show any cognizable prejudice—indeed, its opposition brief does not even mention prejudice.

2. Code of Civil Procedure Section 473.5

Turning to the merits of the Code of Civil Procedure section 473.5 analysis, section 473.5 provides that when "service of a summons has not resulted in actual notice to a party in time to defend the action and a default or default judgment has been entered against him or her in the action, he or she may serve and file a notice of motion to set aside the default or default judgment and for leave to defend the action. The notice of motion shall be served and filed within a reasonable time, but in no event exceeding the earlier of: (i) two years after entry of a default judgment against him or her; or (ii) 180 days after service on him or her of a written notice that the default or default judgment has been entered." (Code Civ. Proc., § 473.5, subd. (a).) "A notice of motion to set aside a default or default judgment and for leave to defend the action . . . shall be accompanied by an affidavit showing under oath that the party's lack of actual notice in time to defend the action was not caused by his or her avoidance of service or inexcusable neglect." (Code Civ. Proc., § 473.5, subd. (b).)

Defendants have submitted virtually identical declarations, asserting that Patelco never served them with notice of the lawsuit and claiming that they became aware of the lawsuit only after searching the court's public portal in connection with an unrelated case. (See Declaration of Candace Costiniano in Support of Motion to Set Aside Default Judgment; Declaration of Maximilian R. Knudsen in Support of Motion to Set Aside Default Judgment.) Knudsen declares that he "was not at home when service was purported to have happened," while Costiniano declares, "I was never personally served with the summons and complaint for Plaintiffs [sic] lawsuit. There has been no effort to serve me any paperwork. There was most certainly no one serving me at 3:37 P. M. on 11/15/2024." (See Declaration of Maximilian R. Knudsen in Support of Motion to Quash, ¶ 2; Declaration of Candace Costiniano in Support of Motion to Quash, ¶ 2.)

Patelco argues that the "only evidence Ms. Costiniano is able to produce is her statement is [sic] she was not served. She was obviously home as only Mr. Knudsen made a point of saying in his declaration he was not home. There is no contention the Summons and Complaint was left on a doorstep or given to the wrong person, which is the usual excuse

given. She just says she could not have been served at the time referenced on the Proof of Service, but gives no explanation why.” (Opposition, p. 4:13-17.)

The agrees with Patelco that Defendants’ respective declarations lack credibility. As Patelco notes, Costiniano offers no explanation as to how Patelco failed to serve her at her home despite Plushnik’s attestation that she served an individual who identified herself as Costiniano at an address that, from Defendants’ own moving papers, appears to be Defendants’ primary residence. (Declaration of Mikayla Plushnik, ¶¶ 2-5.) Rather, Costiniano summarily states that Patelco did not serve her on November 15, 2024. Similarly, both Costiniano and Knudsen have no answer to Plushnik’s sworn statement that she (Plushnik) waited for Costiniano to call Knudsen to confirm that she (Costiniano) had authority to accept service on his behalf. (*Ibid.*) Patelco rightly points out that Plushnik has no incentive to make up these facts, whereas Defendants have every reason to deny service in this case.

The proofs of service, signed under penalty of perjury on November 18, 2024, are themselves presumptive evidence of proper service, and they are backed up by Plushnik’s July 25, 2025 declaration (also signed under penalty of perjury). Defendants’ self-serving declarations fail to overcome this evidence, and so the court rejects Defendants’ motions under section 473.5.

3. Code of Civil Procedure Section 473, Subdivision (b)

Notwithstanding the foregoing, and even though the court has serious questions regarding Defendants’ credibility, the court notes that Defendants’ declarations do contain sufficient statements to support the notion that their failure to respond to the complaint was the product of “surprise” under Code of Civil Procedure section 473, subdivision (b). Under section 473(b), a default may be set aside if a party can show, within “six months,” that it was “taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect.” Defendants’ declarations describe their “surprise” and also emphasize their “lack of familiarity with the intricacies of how the court system works.” (See Declarations, ¶¶ 2 & 3(c).) Giving Defendants the benefit of the doubt, particularly as self-represented litigants, the court will construe their motion as setting forth an alternative request for relief under section 473(b). As the courts of this state have repeatedly made clear, public policy in California strongly favors a determination of actions on the merits rather than by default. (See *Rodriguez v. Brill* (2015) 234 Cal.App.4th 715, 725 [“The California Supreme Court has directed that the provisions of section 473 ‘are to be liberally construed’ to implement the policy that favors the determination of actions on their merits. [Citations.]”].)

The court notes that these motions were filed on June 20, 2025, exactly six months after the initial dates of entry of defaults against each of the Defendants. As a consequence, the motions are timely under section 473(b), by a whisker.

The court sets aside the defaults entered against Costiniano and Knudsen.

III. SUMMARY

The court DENIES Defendants’ motions to quash.

The court GRANTS Defendants’ motions to set aside the defaults under Code of Civil Procedure section 473(b) only, not under section 473.5.

The court VACATES the default prove-up hearing set for August 25, 2025 at 1:30 p.m. in Department 14.

Defendants must file substantive responses (or a substantive joint response) to the complaint with 15 days of this order.

IT IS SO ORDERED.

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Calendar Line 5

Case Name: *Caroline Ma v. Robert Lin, M.D. et al.*

Case No.: 22CV399641

I. BACKGROUND

This is an action for medical malpractice by plaintiff Caroline Ma against several defendants, arising from a corrective vision procedure performed on May 5, 2021.

Ma filed her original complaint on June 6, 2022. After the court granted leave to amend, she filed the operative first amended complaint (“FAC”) on April 12, 2023. The FAC states three causes of action: (1) medical malpractice (against defendants Robert Lin, M.D., Robert Lin, M.D., Inc., Scott Barnes, M.D., IQ Laser Vision/Vision Institute of Northern California, Danny Luong, M.D., Gregory Phan, M.D., Vision Institute of Southern California, Inc., and various Does); (2) products liability/negligence (against defendants Staar Surgical Company, Scott Barnes, M.D., and various Does); and (3) intentional infliction of emotional distress (against defendants Robert Lin, M.D., Robert Lin, M.D., Inc., IQ Laser Vision/Vision Institute of Northern California, Gregory Phan, M.D., Vision Institute of Southern California, Inc., Amber Li, and various Does). It alleges that Ma signed a “release of all claims” on May 14, 2021, but that this release is “void or voidable” because Ma “never read the agreement before signing.” (FAC, ¶¶ 26-27.) There are no exhibits attached to the FAC.

Defendant Staar Surgical Company filed an answer to the FAC on May 8, 2023. Defendant Danny Luong, M.D. filed his answer to the FAC on May 12, 2023. Defendants Robert Lin, M.D., Robert Lin, M.D., Inc., IQ Laser Vision/Vision Institute of Northern California, Gregory Phan, M.D., Vision Institute of Southern California, Inc., and Amber Li filed their answer on May 16, 2023. This answer asserts several (unnumbered) affirmative defenses, including that “Plaintiff’s claim is barred based upon the release executed by plaintiff in May, 2021.” (Answer, ¶ 16.) On May 25, 2023, Ma dismissed the third cause of action for intentional infliction of emotional distress. Defendant Scott Barnes, M.D. filed an answer to the FAC on September 12, 2023.

Now before the court is a motion for summary judgment by defendants Robert Lin, M.D., Robert Lin, M.D., Inc., IQ Laser Vision/Vision Institute of Northern California, Gregory Phan, M.D., Vision Institute of Southern California, Inc., and Amber Li (hereinafter referred to collectively as “Defendants”). Ma filed an opposition to the motion on July 20, 2025. Defendants filed a reply on August 8, 2025. Ma then filed a “sur-reply” on August 12, 2025, and Defendants filed a “response to plaintiff’s unauthorized sur-reply” on August 14, 2025.

II. REQUEST FOR JUDICIAL NOTICE

Defendants have submitted a request for judicial notice with their motion. “Judicial notice may not be taken of any matter unless authorized or required by law.” (Evid. Code, § 450.) A precondition to judicial notice in either its permissive or mandatory forms is that the matter to be noticed be relevant to the material issue before the court. (*Silverado Modjeska Recreation and Park Dist. v. County of Orange* (2011) 197 Cal.App.4th 282, 307 [citing *People v. Shamrock Foods Co.* (2000) 24 Cal.4th 415, 422, fn. 2].) It is the court, and not the parties, that determines relevance. Evidence Code section 453, subdivision (b), requires a